

paying the usual 10% penalty. But “first time,” in the case of IRAs, is a very loose term. To qualify as a “first-time” home buyer, you don’t actually have to be buying your first home; you just can’t have owned a home within the prior two years. Also, the \$10,000 IRA withdrawal represents a lifetime limit. You don’t have to use it all up at once, though. You can take, say, \$5,000 now and \$5,000 later for a future home purchase. But there are serious disadvantages to making this kind of withdrawal. With a traditional IRA, you’ll have to pay tax on the money you withdraw, though not if you have a Roth IRA that’s at least five years old. More seriously, IRA withdrawals—unlike loans from a 401(k)—can never be paid back. Because of the miracle of compounding, money in your retirement account is worth much more than any other savings you accrue. Think twice before you use this money for a home purchase.

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## **THE SLIPPERY SLOPE OF LOW DOWN PAYMENTS**

If you don’t have a lot of cash, you might think a low down payment would be a life saver. But as too many homeowners learned the hard way, it can be hazardous because it allows you to buy a more expensive home than you can really afford.

Take the case of a buyer with \$20,000 to put down on a home. If she put 20% down, she could buy a \$100,000 home. But if she put down only 5%, she might be able to get a \$400,000 home.

Of course, that more costly home would also come with much higher monthly payments. With a thirty-year mortgage and a 7% interest rate, the \$100,000 home would cost her about \$532 a month, whereas payments on the \$400,000 home would be \$2,528 a month. And if she ran into any sort of financial trouble along the way, she would most likely have a problem making those hefty monthly payments.

And if home prices started to plummet (as they did drastically in recent years), borrowers like this would have an added complication. Take the case of that \$100,000 home. If real estate